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Story

1. The Fed held on October 28. Both dissenters wanted a hike.

Previous story 1 of 1 Next story

Reading view

Canonical article · Substack

The Fed held on October 28. Both dissenters wanted a hike.

A 10-2 vote kept the federal funds target at 3.75 to 4 percent. The dissenters wanted an increase; the companion note explains the operating settings.

1 November 2026

Retrospective analysis, written on 1 November 2026 (GMT+7).

An unchanged rate can still contain a pointed disagreement. On October 28, 2026, the Federal Reserve's policy committee voted 10-2 to keep the federal funds target range at 3.75 to 4 percent, according to its October 28 statement. Both dissenters wanted a quarter-percentage-point increase.

Capital Chronicle's reading is that the decision and its implementation answer different questions. The vote establishes the target range and the direction of disagreement. The companion note sets out the rates and instructions used to implement that stance. A reader needs both documents to distinguish the policy choice from its operating settings.

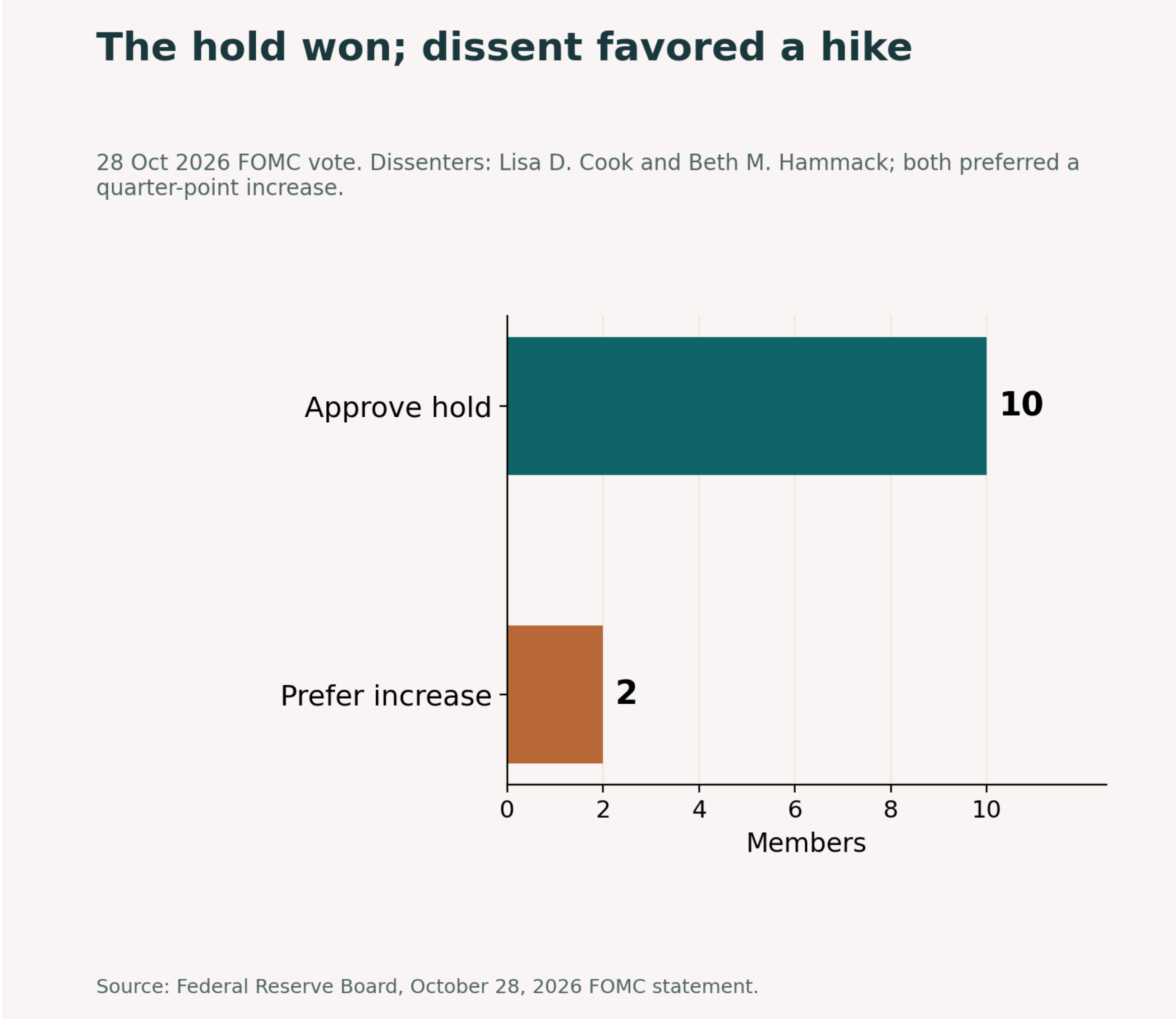
Federal Reserve Chair Kevin Warsh at his May 22, 2026 swearing-in ceremony. Archive context; this is not a photograph of the October 28 decision. · Official White House photograph by Daniel Torok, May 22, 2026. Public domain (US federal government). Commons crop; no further edits. · Reuse terms

A hold with dissent in one direction

Lisa D. Cook and Beth M. Hammack voted against the action because they preferred to raise the target range by a quarter percentage point at that meeting. That makes the direction of dissent clear: they favored an increase, while the approved action maintained the range.

The statement described economic activity as expanding strongly, domestic spending as resilient and inflation as elevated. It also said accumulating more information would help the Committee determine the stance appropriate for a timely return to its 2 percent inflation goal. That is the Committee's published assessment; it should not be turned into a separate explanation attributed to either dissenter.

The strongest countercase to a looming-hike interpretation is the decision itself: ten members approved keeping the range unchanged. The two dissenters' preference is evidence of disagreement at this meeting, not a forecast of the next vote. Reading the split as a timetable for higher rates would give it a meaning the vote alone cannot establish.



The hold won; dissent favored a hike

28 Oct 2026 FOMC vote. Dissenters: Lisa D. Cook and Beth M. Hammack; both preferred a quarter-point increase.

Source: Federal Reserve Board, October 28, 2026 FOMC statement.

The October 28 vote: 10 members approved a hold; Lisa D. Cook and Beth M. Hammack preferred a quarter-point increase. · Source: Federal Reserve Board

October 28, 2026 FOMC vote · members

Measure	Votes
Approve hold	10
Prefer increase	2

Lisa D. Cook and Beth M. Hammack preferred a quarter-percentage-point increase.

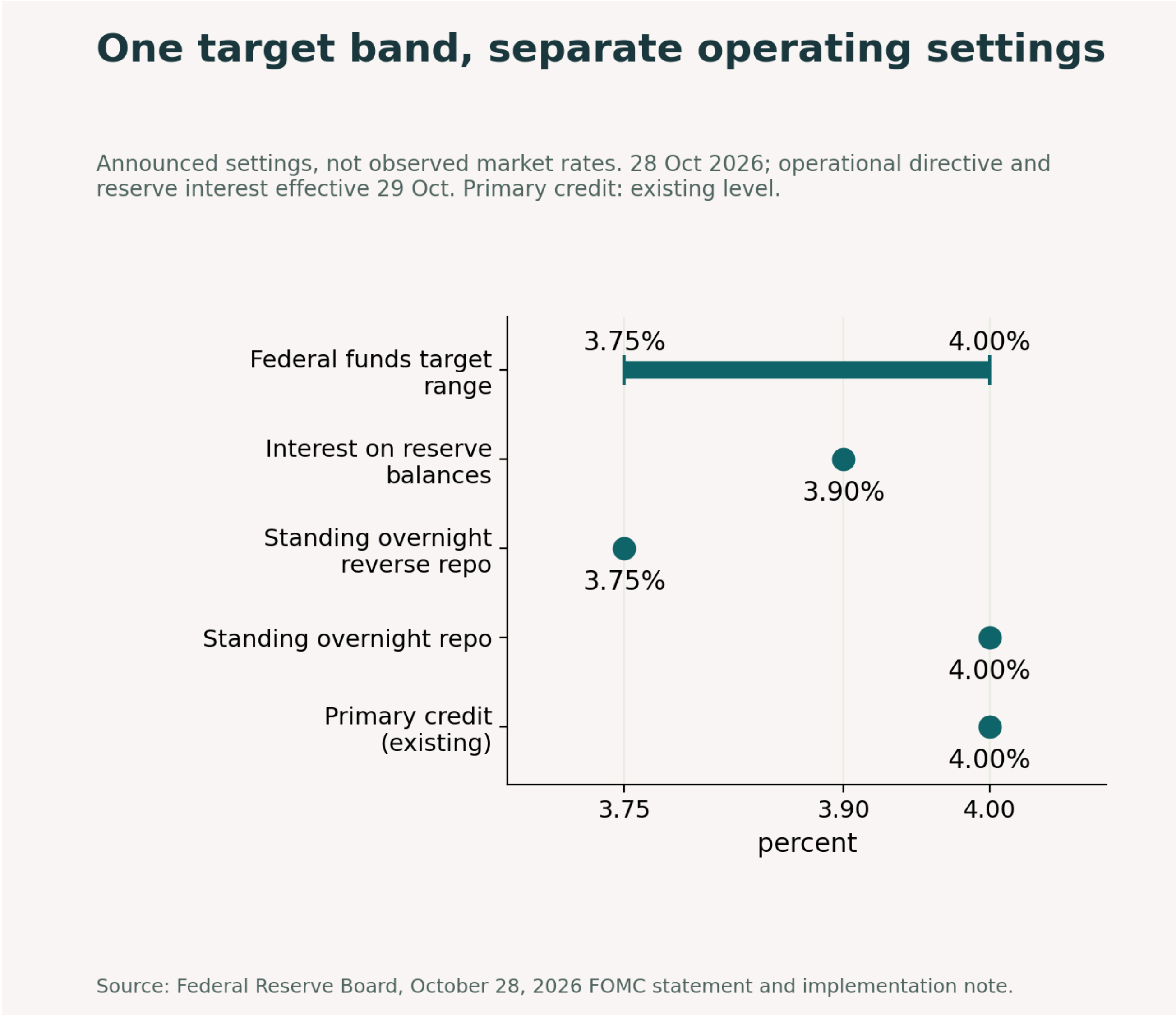
One target range, several operating rates

The companion implementation note describes decisions to carry out the October 28 policy stance. The Board of Governors unanimously maintained interest paid on reserve balances at 3.90 percent, effective October 29. The directive to the New York Fed's trading desk, also effective October 29, instructed it to undertake operations as necessary to maintain the federal funds rate within the 3.75 to 4 percent target range.

The same directive set standing overnight repo operations at 4.0 percent and the standing overnight reverse repo offering rate at 3.75 percent. In a related action, the Board unanimously approved the primary credit rate at its existing 4.0 percent level. The note therefore assigns some identical numbers to different instruments; it does not combine those instruments into a single rate.

The 3.90 percent reserve-balances setting is not a substitute label for the 3.75 to 4 percent federal funds target range. One is an individual rate; the other is the interval the desk is instructed to maintain. Likewise, unanimous Board actions on reserve interest and primary credit should not be mistaken for unanimity in the 10-2 FOMC decision.

These are announced settings, not observations of the rates at which market transactions actually took place. The chart compares their stated levels and roles. It should not be read as a record of market repricing or as a measure of how effectively the instruments transmitted the decision.



One target band, separate operating settings

Announced settings, not observed market rates. 28 Oct 2026; operational directive and reserve interest effective 29 Oct. Primary credit: existing level.

Source: Federal Reserve Board, October 28, 2026 FOMC statement and implementation note.

The target range and individual operating settings announced October 28. Reserve interest and the operating directive were effective October 29; primary credit was at its existing level. · Sources: Federal Reserve Board; Federal Reserve Board

October 28 announced policy settings · percent

Measure	Rate
Federal funds target: lower bound	3.75
Federal funds target: upper bound	4
Interest on reserve balances	3.9
Standing overnight reverse repo	3.75
Standing overnight repo	4
Primary credit (existing)	4

Announced settings, not observed market rates.

Reserve interest and the operating directive were effective October 29. Primary credit was at its existing level.

What to watch in a later decision

The next useful question is whether a later Committee decision changes the target range or the direction of the recorded vote. The October 28 documents should be read as that meeting's decision and implementation instructions, rather than a prediction of what comes next.

Analysis, not financial advice. Readers decide whether to trade.

▶ **Sources and dates**

▶ **Owner record: review and preparation**

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V1 turns admitted public reporting and public-safe Capital Chronicle research into a sourced article, lawful contextual photography and eight channel-specific packages. Substantial analysis uses two to five distinct useful charts drawn from primary data. A news or policy story may omit charts when no defensible useful comparison exists; its editorial reason stays in the record.

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